TechNova Inc.

Sales Compensation Plan FY2025-26

Office of the CRO | Version 1.3 | Effective April 1, 2025 - March 31, 2026

RESTRICTED — Sales Organisation and Compensation Committee Only

1. Plan Overview, Effective Period, and Eligibility

This Sales Compensation Plan ("Plan") is effective for the fiscal year commencing April 1, 2025 and ending March 31, 2026 ("FY2025-26"), with a transition window through April 30, 2026 to close any open deals against this Plan. A new Plan governs FY2026-27 and is issued separately.

Eligibility extends to all employees in quota-carrying roles in the Sales and Customer Success organisations, specifically: Account Executives (Levels L4-L6), Solution Consultants (Levels L4-L5), Customer Success Managers with renewal-and-expansion quotas (Levels L4-L5), Sales Development Representatives (Level L3), and front-line Sales Managers (Levels L5-L6). Senior leadership (Level L7+) participates in a separate executive incentive plan governed by the Compensation Committee.

Total target compensation ("On-Target Earnings" or OTE) is structured as base salary plus variable pay. The Plan does not modify the base salary component, which is governed by the company-wide Salary Structure (FY2025-26, Version 3.1).

2. Role-Specific Quotas and OTE Mix

Account Executive quotas and OTE mix: L4 Account Executive: Annual quota INR 18 crores (approximately USD 2.16M at INR 83.5/USD reference), OTE mix 60/40 (60% base, 40% variable). Median OTE: INR 32 lakhs (Base INR 19.2 lakhs + Variable INR 12.8 lakhs at 100% achievement). L5 Senior Account Executive: Annual quota INR 35 crores, OTE mix 55/45, Median OTE: INR 50 lakhs. L6 Strategic Account Executive (named accounts): Annual quota INR 75 crores, OTE mix 50/50, Median OTE: INR 78 lakhs.

Solution Consultant OTE mix is 75/25, with quota retired against deals they support (no carrying their own pipeline).

Customer Success Manager quota: 100% of expansion + renewal under their book of business, with separate expansion (40%) and renewal (60%) sub-quotas. Renewal achievement below 90% triggers PIP.

Sales Development Representative compensation: 70/30 base/variable, with variable tied to qualified-meetings count and to ARR generated by the AEs they support.

Quotas are set quarterly with 25% in each fiscal quarter. The Q1 number is set 5% lower than other quarters to reflect ramp-up and pipeline-build patterns; the Q4 number is set 5% higher to reflect typical pull-forward pressure before fiscal year-end.

3. Commission Structure, Accelerators, and Caps

The base commission rate (paid against quota up to 100% achievement) is calculated on Annual Contract Value of closed-won deals at the AE's named rate. New-logo deals are weighted at 1.0x; expansion deals are weighted at 0.8x; renewal deals are weighted at 0.5x. Multi-year deals receive year-1 ACV plus 50% of year-2 ACV plus 25% of year-3 ACV in the year of close.

Above 100% achievement, accelerators apply on incremental ACV: 100-110% achievement pays at 1.5x base rate; 110-130% at 2.0x; 130-150% at 2.5x; above 150% at 3.0x. There is no individual cap on commissions; this is by design to motivate over-performance into the IPO milestone of 3,500 customers by Q2 FY2027.

The Plan caps total Plan-wide variable spend at 1.20x of company-level revenue achievement. If the company achieves 108% of revenue plan, the variable-pay multiplier of 1.15x applies (consistent with the company's broader compensation policy as stated in the Salary Structure document). At higher company achievement, individual accelerators continue but the company-funded portion is capped at 1.20x of plan.

4. SPIFFs, Strategic Programs, and Special Initiatives

SPIFFs (Sales Performance Incentive Funds) are time-limited, opportunity-specific bonuses on top of standard commission. Active SPIFFs for FY2025-26:

NRR Acceleration SPIFF (Q1 - Q4 FY2025-26): INR 50,000 cash bonus per net-new logo closed in regulated industries (BFSI, Healthcare, Government) where the deal includes a 3-year multi-year commitment. Cap: 4 deals per AE per quarter. Designed to accelerate the path to 120% NRR for four consecutive quarters, the IPO milestone.

AI Co-pilot Adoption SPIFF (Q3 - Q4 FY2025-26): INR 25,000 cash bonus per existing customer who adds the AI Co-pilot feature. Stackable with renewal commission. Cap: 8 customers per CSM per quarter.

Localisation Markets SPIFF (Q4 FY2025-26 - Q2 FY2026-27): INR 1,00,000 cash bonus per Tier-1 logo closed in Vietnam or Indonesia (the data-localisation-risk markets identified by the Board), with a stacked 1.25x accelerator on top of the standard new-logo rate. Designed to ensure organic in-region revenue justifies the planned in-country deployment investment.

President's Club: top 5% of AEs by quota achievement qualify for a five-day all-expenses-paid trip (the Q1 FY2026-27 trip is scheduled for Bali in June 2026). This is a recognition programme, not a contractual commitment.

5. Ramp Schedule for New Hires

New AE hires follow a graduated ramp during which a "ramp quota" applies in lieu of full quota. The ramp percentages are: Month 1 (training month): 0% of full quota; AE earns full base pay only with no variable expectation. Month 2: 25% of monthly full-quota run-rate. Month 3: 50%. Months 4-6 (Q2 of tenure): 75%. Months 7+ (Q3 of tenure onward): 100% of full quota.

During the first three months, the AE is paid a Ramp Guarantee equal to 50% of the variable target (i.e. half of what they'd make at 100% quota achievement at full rate), prorated monthly. This ensures earnings predictability during onboarding.

The ramp is shorter (4 months to full quota) for AEs hired with verifiable prior SaaS quota-attainment of 100%+ at a peer company. It is longer (9 months to full quota) for AEs hired into new geographic regions where TechNova has not previously sold (e.g. the planned Vietnam expansion).

Solution Consultant ramps follow a similar 6-month structure but with milestones tied to certifications and shadowed deals rather than ACV.

6. Deal Desk Approvals and Discount Authority

Discount authority is graduated by deal size and discount level, governed by the Deal Desk function which sits in the Office of the CRO.

For deals up to INR 30 lakhs ACV with a discount of less than 10%: approval rests with the AE alone. For deals up to INR 30 lakhs with discount 10-25%: requires Sales Manager approval (L5+). For deals up to INR 30 lakhs with discount above 25%: requires CRO approval.

For deals INR 30 lakhs - INR 1 crore: discount up to 10% requires Sales Manager approval; 10-20% requires Sales Director (L6+) approval; above 20% requires CRO approval.

For deals above INR 1 crore: any discount requires CRO approval. Above INR 5 crore in ACV with discount over 15% additionally requires CFO approval.

Non-standard contractual terms — particularly liability cap below the default INR 2x annual fees, indemnity carve-outs, and bespoke SLAs — require Legal sign-off in addition to commercial approval. Deal Desk maintains a non-standard-terms registry.

Multi-year deals with year-1 lower than year-2 (deferred-revenue-shaped deals) require CFO approval given the impact on revenue recognition timing.